

INDIA ECONOMY NEWS

Title: Large Foreign-Currency Inflows Give RBI More Room to Support the Rupee

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Location: New Delhi, India

Category: Economy and Finance

Source: Reuters

India's rupee strengthened sharply on September 3, 2026, after a large inflow of foreign currency gave the Reserve Bank of India greater room to manage currency volatility.

According to Reuters, India secured about \$136.4 billion through special foreign-currency mobilisation measures. The inflows included approximately \$127 billion from foreign-currency non-resident bank deposits, \$3.89 billion from external commercial borrowings and \$5.26 billion from overseas foreign-currency borrowings.

The increased inflows strengthened India's foreign-exchange position. India's foreign-exchange reserves reached a record level of approximately \$729.3 billion, while the Reserve Bank of India's forward book also reached an all-time high of about \$137 billion.

The Indian rupee traded around 94.30 per U.S. dollar after reaching a two-month high. The stronger reserve position provides the central bank with additional capacity to intervene in the foreign-exchange market when necessary.

However, external risks remain. Brent crude oil prices have risen amid renewed tensions involving the United States and Iran. Higher crude prices are important for India because the country imports a large share of its crude oil requirements.

A weaker U.S. dollar and movements in other Asian currencies also influenced the rupee's recent performance.

The latest developments show how foreign-currency inflows, oil prices, global interest-rate expectations and central-bank intervention can influence India's currency and financial markets.

Keywords:

India, rupee, RBI, Reserve Bank of India, foreign exchange, forex reserves, NRI deposits, dollar, crude oil, economy, finance